COURSE

WJEC GCE A Level in Business (1510QS)

Product portfolio

Unit 2: Business Functions · Marketing: The marketing mix, Product

Revision for Unit 2: Business Functions: each firm works it out on its own deals.

Class **A Level or IB Business** Topic **Product portfolio**

THE LESSON

Setup	3 min

Round 1 — Decisions 3 min · Deals 5 min · Topic tasks 4 min

Firm decisions	**Deals**	TASK 1 **One-model risk**	TASK 2 **A balanced range**

Round 2 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min

Firm decisions	**Deals**	TASK 3 **Rank market growth**	TASK 4 **Growth and share**	**B2B deal**

Round 3 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min

Firm decisions	**Deals**	TASK 5 **Where cash goes**	TASK 6 **Drop the old model?**	**B2B deal**

Final questions	3 min

Fits a 30-minute lesson setting; longer settings add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments FROM ROUND 2	Buy property or funds. The value can rise or fall.
Operations	**Seasonal stock**	Order the season's cars in advance.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

Most of your profit comes from one model, whose market has stopped growing.

What is the main risk to your firm?

PICK ONE

- ○ Its price is too low
- ✔ **Nothing ready to replace its profit**
- ○ The model brings in too much cash
- ○ Too many models in growing markets

Why: When that model fades, nothing new is ready to take its place.

Task 2

ROUND 1

You want a balanced range of models.

Which two should the range include?

PICK TWO

- ✔ **Models in growing markets**
- ✔ **Models that bring in steady cash**
- ○ One model for every buyer
- ○ Only models in shrinking markets
- ○ Only models with a small share

Why: Steady earners pay for the models that will earn in future.

Task 3

ROUND 2

Three of your models and their markets, sales last year and this year.

Order by market growth, fastest first?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **5,000 to 6,000 cars**
2. **10,000 to 11,000 cars**
3. **40,000 to 40,800 cars**

Why: Growth: 20%, 10%, 2%.

Task 4

ROUND 2

Your model in its market.

Market growth, and your share this year?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

Market sales last year	**40000 cars**
Market sales this year	**50000 cars**
Your model's sales this year	**2000 cars**

METHOD

Growth = (this year – last year) ÷ last year; share = your sales ÷ market

(50,000 – 40,000) ÷ 40,000 = 25%; 2,000 ÷ 50,000 = 4%

Why: Growth compares with last year; share is of this year's market.

Task 5

ROUND 3

Your leader in a slow market makes spare cash. A newer model has a small share of a fast market.

Where should the spare cash go, and why?

PICK A OR B AND GIVE A REASON

- ○ Back into the leader that earned it
- ✔ **The newer model in the fast market**

Why: Cash from a mature leader is best spent building the next winner.

Task 6

ROUND 3

An old model has a small share of a shrinking market and makes a small loss.

What should you most likely do?

PICK ONE

- ✔ **Consider dropping it**
- ○ Cut its price to lead the market
- ○ Spend heavily to grow its share
- ○ Use it to fund new models

Why: A weak model in a shrinking market rarely pays to rescue.

Final questions

6
questions for each pupil

109
Level 3 Business questions

1
of them on product portfolio

The game draws 6 of the 109 Level 3 questions; these 1 are about product portfolio.

1 A model's sales have levelled off, most target customers know it, and rivals offer close alternatives. Which life cycle response is most coherent?

Defend profitable segments, refresh differentiation or plan replacement on evidence.